

ADANI'S ICEBERG

► **IN ITS OWN** words, Nathan Anderson's New York-based Hindenburg Research is a firm that specialises in forensic financial research on issues like accounting irregularities, undisclosed related-party transactions, illegal or unethical business or financial reporting practices, and also undisclosed regulatory or financial issues, among others.

Noble objectives. But there's also a slightly different underlying to this descriptor. Hindenburg is a short-seller, which

(say, ₹X or ₹X+10). If the value falls to, say, ₹X-10, the borrower buys back the shares from the market at ₹X-10, and returns them to the lender, thereby making a profit. Of course, if the bet fails and the shares climb in value instead of falling, then the borrower makes a loss, which is why this is so risky.

Hindenburg took the risk, and its ruse worked, although it is difficult to ascertain the quantum of gains it might have made. Before releasing its report, Hindenburg

ing short positions on them. Its report on US-based automaker Nikola grabbed headlines in September 2020, scything the stock's value from \$66 in June 2020 to around \$2.5 currently. Hindenburg had taken a short position in Nikola before releasing its report. Similarly, the shares of Genuis Brands, the target of a June 2020 report, fell from around \$7 to \$1.50 with Hindenburg again having a short position. Shares of China Metal Resources Utilization,

unlikely that all of this exposure would be written down, as much of it is tied to performing projects". Fitch added that Indian banks' exposure to the group is not enough to present a substantial risk to the banks' standalone credit profiles. For instance, SBI Chairman Dinesh Kumar Khara has publicly said his bank's exposure of around ₹27,000 crore was just 0.9 per cent of its total loan book.

Despite the pummelling the group has received of late, bankers and analysts continue to express confidence in the high-quality assets owned by the group. Says an infrastructure sector chief executive who sold a key asset to the Adani Group a few years ago: "It's not as if the assets do not have value. If the valuations have soared to unrealistic levels, it does not take away from the fact that the assets have a lot of intrinsic value." Take the case of Adani Power, which sits on a capacity of 20 GW. At today's valuations, a potential buyout can be struck at ₹5 crore per MW taking the value of the company to ₹1 lakh crore. Knocking off a debt of ₹40,000 crore in Adani Power's books, the equity component will still fetch ₹60,000 crore. (Of course, in the case of a distressed asset, the story is quite different. For perspective, this January, Vedanta acquired the debt-ridden Meenakshi Energy's 1,000-MW plant in Andhra Pradesh for ₹1,140 crore or ₹1.14 crore per MW. But Adani's power plants are not distressed by any stretch.)

Using the same logic for the cement businesses, Ambuja and ACC, which Adani acquired from Swiss major Holcim for \$10.5 billion, leave behind an equity

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HINDENBURG MAKES A PROFIT FROM ITS REPORTS WHILE EXPOSING CHINKS IN FIRMS' ARMOUR

means it could make a profit from its damning reports as well, in addition to exposing chinks in firms' armour. Adani Group companies' implosion in the stock markets is the outcome of one such shorting investment by Hindenburg.

Going short on a stock is a complex and risky investment manoeuvre designed to generate a profit if the share price of a 'shorted' firm falls, especially one that is perceived to be overvalued. How does it work? Shares are borrowed at, say, ₹X, from a broker and then sold at their current market value

took short positions on Adani Group firms. (In India, there are many restrictions imposed on short-selling and, hence, Hindenburg took its short positions through Adani's US-traded bonds and non-India-traded derivative instruments.) Subsequently, the markets got jittery after the report was released, and Adani Group firms lost \$100 billion-plus in market capitalisation.

Hindenburg has made a habit of the shorting strategy. In 2020, the firm released reports on as many as seven companies after tak-

Predictive Technology Group and HF Foods, among others, all witnessed huge falls in the months following reports by Hindenburg, which had taken short positions in each of the companies.

Ostensibly, Anderson and Hindenburg would have made money from these stocks' crashes. This profit-making objective puts to question the motive of short-sellers such as Hindenburg, albeit the corporate governance aspects of their reports surely can't be wished away.

—Ashish Rukhaiyar